

THE RAYCHEM CORPORATION

In view of this kind of evidence, it is hard for me to see how anyone can consider the stock market efficient, again using the word “efficient” as it is used by the proponents of this theory. But to belabor the point further, let me take a stock market situation of just a very few years ago. In the early years of the 1970's, the shares of the Raychem Corporation had considerable prestige in the market place and were accordingly selling at a relatively high price-earnings ratio. Some of the reasons warranting this prestige may be perceived by some comments made by the company's Executive Vice President, Robert M. Halperin. In outlining what he called the four cardinal points to Raychem's operating philosophy, he stated:

1. Raychem will not do anything technically simple (i. e., some-thing that would be easy for potential competitors to copy).
2. Raychem won't do anything unless it can be vertically integrated; that is, Raychem must conceive the product, manufacture it, and sell it to the customer.
3. Raychem won't do anything unless there is a substantial opportunity for real proprietary protection, which generally means patent protection. Unless this occurs, research and development energies will not be employed on a project, even though otherwise it might fit into Raychem's skills.
4. Raychem will only go into new products when it believes it can become the market leader in whatever niche, sometimes smaller, sometimes larger, that product attempts to capture.

By the mid-1970's, awareness of these unusual strengths was sufficiently prevalent among those who controlled large institutional funds so that sizable blocks of shares had been taken out of the market by people who believed that Raychem was a situation of unusual competitive strength and attractiveness. However, it was another aspect of this company that gave Raychem its greatest appeal to these holders and was probably the cause of the high price-earnings ratio at which it was then selling. Many considered that Raychem, which was spending an above average percentage of sales on new project development, had perfected a research organization capable of